

All About Asset Allocation focuses on selecting the right asset-class mix for your needs, choosing low-cost investments that represent those asset classes, implementing the strategy, and maintaining it. The facts and figures are presented in as straightforward a manner as possible. Some of the data are technical, so I have tried to illustrate these concepts with figures and explain their meaning in easy-to-understand terms. When you have finished reading all the chapters and you understand the important concepts in each chapter, you will possess the knowledge and the tools you will need to put together a sensible portfolio allocation that will serve you well for many years ahead.

A REVIEW OF THE CHAPTERS

All About Asset Allocation is divided into three parts. All three are equally important. Accordingly, the best way to read this book is to start on the first page and read all the way through to the last.

[Part One](#) explains the need for investment policy and the basic theory behind an asset allocation strategy. [Chapter 1](#) explains why creating a viable investment plan is critical to success, and how asset allocation works in the plan. [Chapter 2](#) is all about investment risk. Risk is defined in many different ways by many different people, ranging from losing money to the volatility of portfolio returns. [Chapter 3](#) covers the technical aspects of asset allocation based on a two-asset-class portfolio. It covers basic formulas and historical market relationships. [Chapter 4](#) expands into multi-asset-class investing. Adding more asset classes to a portfolio can reduce risk and increase long-term return.

[Part Two](#) is the discovery of investment opportunities. [Chapter 5](#) discusses the methodology used to segregate asset-class types and styles. [Chapter 6](#) looks at the U.S. equity market and its various components. [Chapter 7](#) looks at international markets and how diversifying overseas helps U.S. investors. [Chapter 8](#) is an examination of the U.S. fixed-income market and its various components. [Chapter 9](#) covers real estate investing, including home ownership. [Chapter 10](#) is an explanation of alternative asset classes including commodities, hedge funds, precious metals, and collectibles. All chapters provide a sample list of appropriate mutual funds